

RESTAURANT INVENTORY MANAGEMENT WORKFLOW

A simple implementation guide for the development and operations team

This document explains how inventory should work inside the restaurant POS system using a practical example: **Paneer Butter Masala**.

1. Add Raw Materials to Inventory

The admin first creates all ingredients or raw materials that the restaurant purchases and uses.

Ingredient	Unit	Current Stock	Minimum Stock
Paneer	Kg	10 kg	2 kg
Butter	Kg	5 kg	1 kg
Tomato	Kg	20 kg	5 kg
Cream	Litre	10 L	2 L
Spices	Kg	3 kg	0.5 kg

Example inventory item:

Inventory → Add Item
Item Name: Paneer
Category: Dairy
Unit: Kg
Current Stock: 10
Minimum Stock: 2

2. Create the Recipe

Each menu item is linked to the ingredients required to prepare one serving. This recipe mapping allows the POS to calculate inventory consumption automatically.

Menu Item: Paneer Butter Masala	
Ingredient	Quantity Required
Paneer	0.200 kg
Butter	0.030 kg
Tomato	0.150 kg
Cream	0.050 L
Spices	0.010 kg

Rule: Whenever 1 Paneer Butter Masala is sold, the system deducts the exact quantities defined in the recipe.

3. Customer Places an Order

Example order:

Table 5

2 × Paneer Butter Masala
1 × Butter Naan

Order flow:

Customer → POS / Captain → Order Created → KOT Sent to Kitchen

Recommended approach: Deduct inventory when the order is completed or billed, rather than immediately when the order is created. This prevents incorrect stock deduction if the order is cancelled, edited, or its quantity changes.

4. Automatic Stock Deduction

The customer ordered **2 Paneer Butter Masala**. The system multiplies every recipe ingredient by 2:

Ingredient	Calculation	Stock Used
Paneer	0.200×2	0.400 kg
Butter	0.030×2	0.060 kg
Tomato	0.150×2	0.300 kg
Cream	0.050×2	0.100 L
Spices	0.010×2	0.020 kg

Paneer stock before sale: **10 kg**
Paneer consumed: **0.400 kg**
Paneer stock after sale: **9.600 kg**

5. Complete System Flow

```
ADMIN
↓
Add Inventory Items
↓
Set Current Stock
↓
Create Recipe
↓
Link Recipe to Menu Item
↓
Customer Places Order
↓
Order Completed / Billed
↓
Calculate Ingredients Used
↓
Automatically Deduct Stock
↓
Update Current Stock + Create Stock Movement Log
```

6. Stock Movement Log

Do not only store the final stock quantity. Every increase or decrease in inventory should create a transaction record. This gives the restaurant a complete audit trail.

Date	Item	Type	Quantity	Reference
10 Aug	Paneer	Stock In	+10 kg	Purchase #101
11 Aug	Paneer	Sale Usage	-0.4 kg	Order #5001
11 Aug	Paneer	Wastage	-0.2 kg	Spoiled
12 Aug	Paneer	Adjustment	+0.1 kg	Physical Count

Current Stock = All Stock In – Sales Usage – Wastage ± Adjustments

7. Purchase / Stock In Workflow

Example: The restaurant buys **5 kg Paneer** when the current stock is **9.6 kg**.

Purchase Entry → Select Supplier → Add Items & Quantity → Save Purchase → Stock Automatically Increased → Stock Movement Created

Before purchase: 9.6 kg
New purchase: +5 kg
Updated stock: 14.6 kg

8. Wastage and Stock Adjustments

Example: 500 grams of Paneer expires.

Inventory → Stock Adjustment
Item: Paneer
Type: Wastage
Quantity: 0.5 kg
Reason: Expired

System calculation: $14.6 - 0.5 = 14.1$ kg

9. Low Stock Alerts

Every inventory item should have a minimum stock level. When current stock reaches or falls below this level, the system should display an alert.

Item	Current Stock	Minimum Stock	Status
Paneer	1.8 kg	2 kg	Low Stock
Butter	0.9 kg	1 kg	Low Stock
Cream	2.1 L	2 L	Normal

10. Recommended System / Database Structure

A. Inventory Items

- ID
- Name
- Category
- Unit
- Current Stock
- Minimum Stock
- Cost Price
- Status

B. Recipes

- Menu Item ID
- Inventory Item ID
- Quantity Required
- Unit

C. Stock Transactions

- ID
- Inventory Item ID
- Type: Purchase / Sale Usage / Wastage / Adjustment / Return
- Quantity
- Date
- Reference ID
- User ID
- Notes

11. Final Architecture

```
INVENTORY ITEMS
↓
RECIPES
↓
MENU ITEMS
↓
POS ORDERS
↓
ORDER COMPLETED
↓
STOCK DEDUCTION ENGINE
↓
STOCK TRANSACTION LOG
↓
CURRENT STOCK + REPORTS + ALERTS
```

Team Explanation

Simple explanation for the development team:

Every raw material has a current stock. Every menu item can have a recipe. When an order is successfully completed, the system reads the recipe and automatically deducts the required quantity of every ingredient. Every addition or deduction must create a stock transaction so the restaurant can always see why the stock changed.

Scope note: This workflow covers the basic inventory module suitable for the ■20,000 Restaurant POS + Growth package. Advanced functions such as vendor invoice OCR, automatic bill digitisation, integrated banking, advanced vendor analytics and Tally/ERP automation can be offered as separate add-ons.